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Case No:

24NNCV01232

Hearing Date: 06/25/2026 – 8:30 a.m.

Trial

Date: UNSET

Case Name: WENJIN LIANG v. XIAOQUI LIAO, et al.

[TENTATIVE RULING ON

DEMURRER & MOTION TO STRIKE]

RELIEF REQUESTED

Defendants – (1) Magikid Franchising Inc.; (2) Magikid Holdings

LLC; and (3) Magikid IP LP – demur to the fifth and sixth causes of action in

Plaintiff's FAC [filed 3/13/2026] pursuant to CCP, § 430.10(e) [failure to state facts sufficient to constitute a cause of action].

PROCEDURAL ANALYSIS

Moving Papers: Demurrer; Proposed Order

Opposition Papers: Opposition; Proof of Service

Reply Papers: Reply

Meet and Confer

A party filing a demurrer “shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (CCP, § 430.41(a).) “The parties shall meet and confer at least five days before the date the responsive pleading is due. If the parties are not able to meet and confer at least five days prior to the date the responsive pleading is due, the demurring party shall be granted an automatic 30-day extension of time within which to file a responsive pleading, by filing and serving, on or before the date on which a demurrer would be due, a declaration stating under penalty of perjury that a good faith attempt to meet and confer was made and explaining the reasons why the parties could not meet and confer.” (CCP, § 430.41(a)(2).)

Failure to sufficiently meet and confer is not grounds to overrule or sustain a demurrer. (CCP, § 430.41(a)(4).)

Here, Defendants’ counsel met and conferred. (See Decl. Lee, ¶¶ 1-2.)

LEGAL STANDARDS FOR DEMURRERS

Demurrer – Sufficiency

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda, (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.)

In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters; therefore, it lies only where the defects appear on the face of the pleading or are

judicially noticed. (Code Civ. Proc., §§ 430.30, 430.70.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

The general rule is that the plaintiff need only allege ultimate facts, not evidentiary facts. (Doe v. City of Los Angeles (2007) 42 Cal.4th 531, 550.) "All that is required of a plaintiff, as a matter of pleading ... is that his complaint set forth the essential facts of the case with reasonable precision and with sufficient particularity to acquaint the defendant with the nature, source and extent of his cause of action." (Rannard v. Lockheed Aircraft Corp. (1945) 26 Cal.2d 149, 156-157.)

On demurrer, a trial court has an independent duty to "determine whether or not the ... complaint alleges facts sufficient to state a cause of action under any legal theory." (Das v. Bank of America, N.A. (2010) 186 Cal.App.4th 727, 734.) Demurrers do not lie as to only parts of causes of action, where some valid claim is alleged but "must dispose of an entire cause of action to be sustained." (Poizner v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119.) "Generally it is an abuse of discretion to sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment." (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.)

Demurrer – Uncertainty

A special demurrer for uncertainty, CCP section 430.10(f), is disfavored and will only be sustained where the pleading is so bad that defendant cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him/her. (Khoury v. Maly's of Calif., Inc. (1993) 14 Cal.App.4th 612, 616.) Moreover, even if the pleading is somewhat vague, "ambiguities can be clarified under modern discovery procedures." (Ibid.)

TENTATIVE

RULING DEMURRER

Plaintiff, Wenjin Liang, filed the original complaint on 4/26/2024.

Defendant/Cross-Complainant, Angell

Echo, Inc., filed a cross-complaint on 12/13/2024; however, it appears that the cross-complaint was stricken on 5/30/2025 via a special motion to strike (anti-SLAPP motion).

On 2/25/2026, the Court granted

Plaintiff leave to amend to file a First Amended Complaint (FAC).

Plaintiff filed a complaint on

2/27/2026; however, it appears that the complaint filed on 2/27/2026 was rejected on 3/5/2026.

On 3/13/2026, Plaintiff filed the

operative FAC.

There are six defendants named in the

FAC.

The three moving defendants (Movants)

here – (1) Magikid Franchising Inc.; (2) Magikid Holdings LLC; and (3) Magikid IP LP – demur to the fifth and sixth causes of action in Plaintiff's FAC.

Fifth Cause of Action –

Successor Liability/Alter Ego

The first (breach of contract - rescission), second (breach of implied covenant of good faith and fair dealing), and fourth (fraud) causes of action in the FAC are alleged against Defendant, Angell Echo, Inc.

The third cause of action (fraudulent misrepresentation) in the

FAC is alleged against Defendants, Angell You (formerly Xiaoqi Liao) and Echo You (formerly Jia You).

The fifth cause of action (successor liability/alter ego) in the

FAC is alleged against Defendants – Magikid Franchising Inc.; Magikid Holdings LLC; Magikid IP LP; Angell You; and Echo You.

The sixth cause of action (declaratory relief) is alleged against

all defendants – Magikid Franchising Inc.; Magikid Holdings LLC; Magikid IP LP;

Angell You; Echo You; and Angell Echo, Inc.

Movants demur to the fifth cause of action on the basis that successor liability/alter ego is not an independent cause of action, but rather a legal doctrine imposing liability that requires an underlying cause of action.

Movants' demurrer cites the following cases: (1) *Brown Bark III, L.P. v. Haver* (2013) 219 Cal.App.4th 809; (2) *Hennessey's Tavern, Inc. v. American Air Filter Co.* (1988) 204 Cal.App.3d 1351; and (3) *Shaoxing County Huayue Import & Export v. Bhaumik* (2011) 191 Cal.App.4th 1189 to support their arguments.

The Court does not find Movants' arguments availing.

While the Court is aware that successor liability and alter ego liability are not independent claims, but rather theories of liability that require an underlying claim, none of the cases that Defendants cite stand for the proposition that : when a plaintiff uses the label "Successor Liability/Alter Ego" as a cause of action, the court must sustain a demurrer because successor liability/alter ego is a theory of liability and not an independent cause of action.

"The subject matter of an action and the issues involved are determinable from the facts alleged rather than from the title of the pleading or the character of damage recovery suggested in connection with the prayer for relief." (*Siciliano v. Fireman's Fund Ins. Co.* (1976) 62 Cal.App.3d 745, 751 quoting *Buxbom v. Smith*, 23 Cal.2d 535, 542.)

"It has long been established that in ruling on a demurrer, the trial court is obligated to look past the form of a pleading to its substance. Erroneous or confusing labels attached by the inept pleader are to be ignored if the complaint pleads facts which would entitle the plaintiff to relief." (*Saunders v. Cariss* (1990) 224 Cal.App.3d 905, 908 citing *Williams v. Beechnut Nutrition Corp.* (1986) 185 Cal.App.3d 135, 139, fn.2.)

"If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.)

Although Movants argue that Plaintiff does not allege separate wrongful acts by Moving Defendants, or any duties owed to Moving Defendants, or breach of such duty, or any primary right violated by Moving Defendants, Movants' arguments are unavailing.

There are four underlying causes of action that are alleged against the non-moving defendants.

Movants are not demurring to the four underlying causes of action.

Further, the FAC alleges that each defendant is the agent/employee, joint venturer, and alter ego of the other defendants. (See FAC, ¶¶ 11-12.)

The case of *Sonora Diamond Corp. v. Superior Court* helps explain the alter ego doctrine:

Ordinarily, a corporation is regarded as a legal entity, separate and distinct from its stockholders, officers and directors, with separate and distinct liabilities and obligations. (*Wenban Estate, Inc. v. Hewlett* (1924) 193 Cal. 675, 696, 227 P. 723; *Communist Party v. 522 Valencia, Inc.* (1995) 35 Cal.App.4th 980, 993, 41 Cal.Rptr.2d 618; *Robbins v. Blecher* (1997) 52 Cal.App.4th 886, 892, 60 Cal.Rptr.2d 815.) A corporate identity may be disregarded—the “corporate veil” pierced—where an abuse of the corporate privilege justifies holding the equitable ownership of a corporation liable for the actions of the corporation. (*Roman Catholic Archbishop v. Superior Court* (1971) 15 Cal.App.3d 405, 411, 93 Cal.Rptr. 338.) Under the alter ego doctrine, then, when the corporate form is used to perpetrate a fraud, circumvent a statute, or accomplish some other wrongful or inequitable purpose, the courts will ignore the corporate entity and deem the corporation's acts to be those of the persons or organizations actually controlling the corporation, in most instances the equitable owners. (*Robbins v. Blecher*, supra, 52 Cal.App.4th at p. 892, 60 Cal.Rptr.2d 815; *Communist Party v. 522 Valencia, Inc.*, supra, 35 Cal.App.4th at pp. 993–994, 41 Cal.Rptr.2d 618.) The alter ego doctrine prevents individuals or other corporations from misusing the corporate laws by the device of a sham corporate entity formed for the purpose of committing fraud or other misdeeds. (*Associated Vendors, Inc. v. Oakland Meat Co.* (1962) 210 Cal.App.2d 825,

842, 26 Cal.Rptr. 806.) In California, two conditions must be met before the alter ego doctrine will be invoked. First, there must be such a unity of interest and ownership between the corporation and its equitable owner that the separate personalities of the corporation and the shareholder do not in reality exist. Second, there must be an inequitable result if the acts in question are treated as those of the corporation alone. (Automotriz etc. De California v. Resnick (1957) 47 Cal.2d 792, 796.)

(Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538.)

Additionally:

“Among the factors to be considered in applying the doctrine are commingling of funds and other assets of the two entities, the holding out by one entity that it is liable for the debts of the other, identical equitable ownership in the two entities, use of the same offices and employees, and use of one as a mere shell or conduit for the affairs of the other.” (Roman Catholic Archbishop v. Superior Court, supra, 15 Cal.App.3d at pp. 406, 411, 93 Cal.Rptr. 338; Associated Vendors, Inc. v. Oakland Meat Co., supra, 210 Cal.App.2d at pp. 838–839, 26 Cal.Rptr. 806.) Other factors which have been described in the case law include inadequate capitalization, disregard of corporate formalities, lack of segregation of corporate records, and identical directors and officers. (See Tomaselli v. Transamerica Ins. Co. (1994) 25 Cal.App.4th 1269, 1285, 31 Cal.Rptr.2d 433; Associated Vendors, Inc. v. Oakland Meat Co., supra, 210 Cal.App.2d at pp. 838–839, 26 Cal.Rptr. 806; Alberto v. Diversified Group, Inc., supra, 55 F.3d at p. 205.) No one characteristic governs, but the courts must look at all the circumstances to determine whether the doctrine should be applied. (Talbot v. Fresno–Pacific Corp. (1960) 181 Cal.App.2d 425, 432, 5 Cal.Rptr. 361.)

(Sonora Diamond Corp. v. Superior Court (2000) 83 Cal.App.4th 523, 538-539.)

Further, A.J. Fistes Corp. explains the pleading standard for alleging liability under the alter ego doctrine:

“To

recover on an alter ego theory, a plaintiff need not use the words 'alter ego,' but must allege sufficient facts to show a unity of interest and ownership, and an unjust result if the corporation is treated as the sole actor." (Leek v. Cooper (2011) 194 Cal.App.4th 399, 415, 125 Cal.Rptr.3d 56 [complaint alleging individual defendant was owner of all stock of defendant corporation and personally made all its business decisions was not sufficient for alter ego liability]; cf. Rutherford Holdings, LLC v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 235, 166 Cal.Rptr.3d 864 [plaintiff sufficiently alleged unity of interest by alleging corporate entity was inadequately capitalized, failed to "abide by the formalities of corporate existence," and was dominated, controlled, and used by defendant as a "mere shell and conduit"].)

(A.J. Fistes Corp.
v. GDL Best Contractors, Inc. (2019) 38 Cal.App.5th 677, 696.)

Here,
Plaintiff sufficiently pleads the alter ego doctrine in paragraphs 9-12, 38-45, and 80-89.

In
reply, Defendants cite to Crowley v. Katleman (1994) 8 Cal.4th 666, 681 to discuss the primary rights theory of pleading and how violation of a single primary right gives rise to a single cause of action.

The Court also finds Defendants' reply
unavailing.

Crowley has nothing to do with the pleading
standard for alter ego liability, and it does not state that the Court must sustain a demurrer when a plaintiff labels successor liability/alter ego as a cause of action, instead of simply including the theory of liability within the allegations of the complaint, not labeled as a cause of action.

Further,
Defendants fail to cite the portion of Crowley that states, "The primary right theory has a fairly narrow field of application. It is invoked most often when a plaintiff attempts to divide a primary right and enforce it in two suits." (Crowley v. Katleman (1994) 8 Cal.4th 666, 682.)

Plaintiff sufficiently pleads alter ego liability. While the Court is aware that successor liability/alter ego is not an independent cause of action, Defendants' issue with Plaintiff labeling the theory of liability as a separate cause of action does not appear to be a basis to sustain a demurrer.

TENTATIVE RULING FIFTH CAUSE OF ACTION

Defendants' demurrer to the fifth cause of action for successor liability/alter ego is OVERRULED.

Sixth Cause of Action – Declaratory Relief

Plaintiff's sixth cause of action (declaratory relief) is alleged against all defendants.

Movants argue that Plaintiff does not plead an actual controversy against Moving Defendants because the FAC does not identify any contract, instrument, equity document, corporate document, or other specific legal relationship under which the Movant Defendants owe Plaintiff a presently adjudicable duty independent of the substantive claims already pleaded.

Movants also argue that Plaintiff fails to plead any concrete, independent controversy.

Under CCP § 1060:

Any person interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, or with respect to the location of the natural channel of a watercourse, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties,

whether or not further relief is or could be claimed at the time. The declaration may be either affirmative or negative in form and effect, and the declaration shall have the force of a final judgment. The declaration may be had before there has been any breach of the obligation in respect to which said declaration is sought.

(CCP, § 1060.)

Further, under CCP, § 1061, “The court may refuse to exercise the power granted by this chapter in any case where its declaration or determination is not necessary or proper at the time under all the circumstances.” (Ibid.)

The Court does not find Defendants’ arguments availing.

Although Movants argue that Plaintiff has no legal relationship with Moving Defendants, Movants ignore the agency and alter ego allegations that this Court previously cited to.

Paragraphs 90 – 95 of the FAC sufficiently allege a cause of action for declaratory relief.

TENTATIVE RULING SIXTH CAUSE OF ACTION

Defendants’ demurrer to the sixth cause of action (declaratory relief) is OVERRULED.

MOTION TO STRIKE

RELIEF REQUESTED

Defendants – (1) Angell Echo, Inc.; (2) Angell You; (3) Echo You; (4) Magikid Franchising Inc.; (5) Magikid Holdings LLC; and (6) Magikid IP LP – move to strike the following portions of Plaintiff’s FAC:

1.
reference to punitive damages allegations stated on Page 11, lines 17 through 23: “Plaintiff alleges that the Individual Defendants acted willfully,

maliciously, and with the specific intent to defraud, knowing that Plaintiff had not been, and would not be, issued any valid or enforceable equity interest. Despite this knowledge, Individual Defendants induced Plaintiff to provide funds, labor, and forbearance. Their conduct was undertaken with a conscious disregard for Plaintiff's rights and with the specific intent to deprive Plaintiff of her property. Such conduct constitutes oppression, fraud, and malice within the meaning of California Civil Code § 3294, and resulted in substantial financial harm to Plaintiff."; and

2.

reference to punitive damages allegations stated Page 14, lines 4, "For punitive and exemplary damages against the Individual Defendants Angell You (formerly known as Xiaoqi Liao) and Echo You (formerly known as Jia You), in an amount to be determined at trial, pursuant to California Civil Code § 3294, based on their fraudulent, malicious, and oppressive conduct;."

(Def. Mot., p. 2.)

LEGAL

STANDARD – MOTION TO STRIKE

The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (CCP, § 436(a).) The court may also strike all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (CCP, § 436(b).)

A motion

to strike cannot be based upon the grounds that a complaint fails to state facts sufficient to constitute a cause of action, but instead is properly based on grounds of superfluous or abusive allegations, or improprieties in form or procedure. (*Ferraro v. Camarlinghi* (2008) 161 Cal.App.4th 509, 528-29.)

The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (CCP, § 437; *Turman v. Turning Point of Central California, Inc.* (2010) 191 Cal.App.4th 53, 63 ["judges read allegations of a pleading subject to a motion to strike as a whole, all parts in their context, and assume their truth"].)

Further, CCP § 431.10(a)-(c) states as follows:

(a) A material allegation in a pleading is one essential to the claim or defense and which could not be stricken from the pleading without leaving it insufficient as to that claim or defense.

(b) An immaterial allegation in a pleading is any of the following:

(1) An allegation that is not essential to the statement of a claim or defense.

(2) An allegation that is neither pertinent to nor supported by an otherwise sufficient claim or defense.

(3) A demand for judgment requesting relief not supported by the allegations of the complaint or cross-complaint.

(c) An “immaterial allegation” means “irrelevant matter” as that term is used in Section 436.

(CCP, § 431.10(a)-(c).)

TENTATIVE RULING MOTION TO STRIKE

In an action for the breach of an obligation not arising from contract, where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice, the plaintiff, in addition to the actual damages, may recover damages for the sake of example by way of punishing the defendant. (Civil Code, § 3294(a).)

“‘Malice’ means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.” (Civil Code, § 3294(c)(1).)

“‘Oppression’

means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights. (Civil Code, § 3294(c)(2).)

“‘Fraud’

means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury. (Civil Code, § 3294(c)(3).)

Defendants argue that

Plaintiff's request for punitive damages should be stricken for two reasons.

With respect to the first

reason, Defendants argue:

First,

the FAC does not connect the punitive damages prayer to the claim under which the punitive damages allegation is actually pleaded. The only substantive punitive damages allegation is pled as part of claim against Defendant AEI, but the prayer seeks punitive damages only against the Individual Defendants.

(Def. Mot., p. 3.)

Defendants' first reason is unavailing for several reasons.

To the extent that Defendants argue that the prayer for relief's punitive damages request does not connect the claim under which the punitive damages are alleged, Defendants cite no legal authority that this must be done.

Paragraph 4 in the prayer for relief indicates that punitive damages are being sought against the Individual Defendants (Angell You and Echo You).

Further, the third cause of action for fraudulent misrepresentation is alleged against the Individual Defendants.

Additionally, paragraph 79 (within the fourth cause of action for fraud, that is alleged against Defendant Angell Echo, Inc.) also contains allegations against the Individual Defendants, and paragraph 68 within the fourth cause of action incorporates the third cause of action's fraud

allegations against the Individual Defendants.

Therefore, Defendants are incorrect to argue that the only substantive punitive damages allegations are against Defendant Angell Echo, Inc., because the third cause of action for fraudulent misrepresentation is alleged against Individual Defendants, and paragraph 79 is alleged against Individual Defendants.

Notably, Defendants did not demur to either the third (fraudulent misrepresentation) or fourth (fraud) causes of action.

Thus, as it stands now, Plaintiff sufficiently pleads a claim for fraudulent misrepresentation (third cause of action) against Individual Defendants, and Plaintiff sufficiently pleads a basis for punitive damages against Individual Defendants.

With respect to the second reason, Defendants argue:

Second, even apart from that pleading defect, the FAC does not allege specific facts showing malice, oppression, or fraud under Civil Code section 3294. Plaintiff alleges that Defendants told her she was a 5% shareholder and later gave her the “runaround” when she requested access to financial records. But the FAC does not plead facts showing that those shareholder statements were false when made, that either Individual Defendant knew they were false, or that either Individual Defendant made them with an intent to deceive Plaintiff.

(Def. Mot., p. 3.)

Defendants’ second reason is also unavailing.

Defendants did not demur to the third or fourth causes of action; therefore, the third (fraudulent misrepresentation) and fourth (fraud) causes of action are sufficiently pled. Further, paragraph 79 sufficiently pleads facts under Civil Code section 3294, particularly in light of the allegations in paragraphs 59 – 79.

Defendants’ motion to strike is DENIED.